

AF2004 –Business Finance

Form number	COURSE OUTLINE/ DOCUMENT	
QEC-ISOB-D1-CW 0.4		
COURSE INSTRUCTOR INFORMATION	Name	<u>Muhammad Ahsan</u>
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DEGREE INFORMATION	Program	Batch	Section(s)			Semester	
	BBA/ BSAF/BSBA/BSFT	2025				Year	2026

COURSE INFORMATION	Course Category C- Core/ E-Elective		Code	Title	Credit hours
	C		AF2004	Business Finance	03
	Prerequisite(s)				
	TA Required (Yes/ No)	No. of TA(s)	Brief Justification		
	Yes	-	-		

TEXT BOOK(S) INFORMATION		Title of Book		Financial Management: Theory and Practices	Edition 16 th
		Author(s)		Eugene F. Brigham (Author),Michael C. Ehrhardt	
		Publisher		Cengage Learning	
Reference Book(s)		1.	Title of Book	Fundamentals of Financial Management	
			Imprint details	James C. Vanhorne, and J. M. Wachowic (13th edition)	
		2.	Title of Book	Principles of Managerial Finance	
			Imprint details	L. J. Gitman, Latest Edition	
		3.	Title of Book	Fundamental of Financial Management	
			Imprint details	Ramesh Rao	
		Support Material(s)	a	http://onlinelibrary.wiley.com/journal/10.1111/(ISSN)1468-5957	
			b	https://www.mightyrecruiter.com/recruiter-guide/business-finance/	
			c.	http://www.accaglobal.com/pk/en/business-finance.html	
			d	https://www.udemy.com/basics-of-business-finance/	
Brief Descr		This course serves as a foundation for essential principles and concepts in finance within a business context. It covers financial statement analysis, time value of money, risk and return, and capital budgeting. Students develop skills in evaluating investment opportunities, assessing financial			

performance, and making informed decisions. The course also explores financial markets, basic instruments, and planning techniques. The course outcomes include a solid understanding of business finance, active participation in financial discussions, and contribution to decision-making processes within organizations. The course fosters critical thinking and problem-solving abilities, ensuring a deeper grasp of financial strategies and their impact on organizational success. It is to provide a strong foundation for pursuing advanced finance courses and excelling in diverse financial roles in the business world.

Course Learning Outcomes (CLOs): (Brief & unambiguous-with reference to course objectives i.e.at least 5 Los

- describe broad aspects of behavior which incorporate a wide range of knowledge and skill
- accomplished over time in several learning experiences
- refer to **DEMONSTRATIONS OF PERFORMANCE**

1.	Interpret financial management concepts and financing structures used in modern business organizations (Understand – PLO3)
2.	Compute investment values and financing outcomes using appropriate financial techniques and tools (Apply – PLO4)
3.	Examine alternative investment and financing decisions through financial indicators and risk considerations (Apply– PLO2)
4.	Assess the influence of financial policies on organizational sustainability and stakeholder interests (Evaluate – PLO5)
5.	Demonstrate professional responsibility and collaborative judgment while resolving financial case scenarios (Apply – PLO7, PLO9)

	PLO 1	PLO 2	PLO 3	PLO 4	PLO 5	PLO 6	PLO 7	PLO 8	PLO 9
CLO 1			✓						
CLO 2				✓					
CLO 3		✓							
CLO 4					✓				
CLO 5							✓		✓

Courseware Structure: (Mark X where applies)

Lecture (Lect)	Multimedia (MM)	Exercise (Exer)	IT Labs (Lab)	Case Studies (CAS)	Individual Assignment (Assign)	Group Presentation (G-Pres)	Any other Medium
X	X	X	X	X	X	X	

COURSE CONTENTS:

Weeks	Contents/Topics	** Courseware Events (MM/ IT Lab/Case Study/ Assignment/ Presentation etc.)	Associated CLO(s)
Week-01	<u>An Overview of Financial Management and the Financial Environment</u> - The Corporate Life Cycle - The Primary Objective of the Corporation: Value Maximization - An Overview of the Capital Allocation Process - Financial Securities - The Cost of Money - Financial Institutions - Financial Markets - Trading Procedures in Financial Markets - Types of Stock Market Transactions - The Secondary Stock Markets	<u>Reading</u> Chapter 1 (Brigham) <u>Activity</u> Learn about SECP Pakistan	CLO. 1
Week-02	<u>Financial Statements, Cash Flow, and Taxes</u> - Financial Statements and Reports - The Balance Sheet - The Income Statement - Statement of Stockholders' Equity - Statement of Cash Flows - Net Cash Flow - Free Cash Flow: The Cash Flow Available for Distribution to Investors - Performance Evaluation - The Federal Income Tax System	<u>Reading</u> Chapter 2 (Brigham) ✓ <u>Activity</u> ✓ Practice on MS Excel Assignment – 1	CLO. 1 & 2
Week-03	<u>Analysis of Financial Statements</u> - Financial Analysis - Liquidity Ratios - Asset Management Ratios - Debt Management Ratios - Profitability Ratios - Market Value Ratios - Trend Analysis, Common Size Analysis, and Percentage Change Analysis - Tying the Ratios Together: The DuPont Equation - Comparative Ratios and Benchmarking - Uses and Limitations of Ratio Analysis	<u>Reading</u> ✓ Chapter 3 (Brigham) <u>Activity</u> ✓ Quiz – 1 Case Study – 1 Practice on MS Excel	CLO. 2 & 3
Week-04 & 05	<u>Time Value of Money</u> - Time Lines - Future Values - Present Values - Finding the Interest Rate, I - Finding the Number of Years, N - Perpetuities - Annuities - Future Value of an Ordinary Annuity - Future Value of an Annuity Due	<u>Reading</u> Chapter 4 (Brigham) <u>Activity</u> ✓ Assignment – 2 ✓ Quiz -2	CLO. 2

	• Present Value of Ordinary Annuities and Annuities Due • Finding Annuity Payments, Periods, and Interest Rates • Uneven, or Irregular, Cash Flows • Future Value of an Uneven Cash Flow Stream • Solving for I with Irregular Cash Flows • Semiannual and Other Compounding Periods • Fractional Time Periods • Amortized Loans • Islamic perspective of Time Value of Money		
Week-06	Course Lab I • Basic Microsoft Excel formula • Finance Formula • Data Tab usage	Reading Chapter 1-5 (Holden) Activity Assignment – 3	CLO.2
Week-07	Bond, Bond Valuation, and Interest Rates • Who Issues Bonds? • Key Characteristics of Bonds • Bond Valuation • Changes in Bond Values Over Time • Bonds with Semiannual Coupons • Bond Yields • The Pre-Tax Cost of Debt: Determinants of Market Interest Rates • The Real Risk-Free Rate of Interest, r^* • The Inflation Premium (IP) • The Nominal, or Quoted, Risk-Free Rate of Interest, r_{RF} • The Default Risk Premium (DRP) • The Liquidity Premium (LP) • The Maturity Risk Premium (MRP) • The Term Structure of Interest Rates • Financing with Junk Bonds • Bankruptcy and Reorganization	✓ ✓ Reading Chapter 5 (Brigham) Activity Assignment – 4 Quiz – 3	CLO. 2 & 3
Week-08 & 09	Risk and Return • Investment Returns and Risk • Measuring Risk for Discrete Distributions • Risk in a Continuous Distribution • Using Historical Data to Estimate Risk • Risk in a Portfolio Context • The Relevant Risk of a Stock: The Capital Asset Pricing Model (CAPM) • The Relationship between Risk and Return in the Capital Asset Pricing Model • The Efficient Markets Hypothesis • The Fama-French Three-Factor Model • Behavioral Finance • The CAPM and Market Efficiency: Implications for Corporate Managers and Investor	Reading Chapter 6 (Brigham) Activity ✓ Assignment – 5 ✓ Predictive analysis on MS Excel/EViews ✓ Case Study – 2	CLO. 3 & 4

Week-10	Valuation of Stocks and Corporations - Legal Rights and Privileges of Common Stockholders - Types of Common Stock - Stock Market Reporting - Valuing Common Stocks - Valuing a Constant Growth Stock - Valuing Non-Constant Growth Stocks - The Free Cash Flow Valuation Model - Market Multiple Analysis - Preferred Stock - Islamic concept of Equity	Reading Chapter 7 (Brigham) Activity Assignment – 6	CLO. 2 & 3
Week-11	Course Lab II - In built formulas - Interloop Formula - Data Table	Reading Chapter 5-8 (Holden) Activity ✓ Assignment – 7	CLO. 2 & 3
Week-12	The Cost of Capital - The Weighted Average Cost of Capital - Choosing Weights for the Weighted Average Cost of Capital - After-Tax Cost of Debt: $r_d(1 - T)$ and $r_{std}(1 - T)$ - Cost of Preferred Stock, r_{ps} - Cost of Common Stock: The Market Risk Premium, RPM - Using the CAPM to Estimate the Cost of Common Stock, r_s - Dividend-Yield-Plus-Growth-Rate, or Discounted Cash Flow (DCF), Approach - The Weighted Average Cost of Capital (WACC) - Adjusting the Cost of Equity for Flotation Costs - Privately Owned Firms and Small Businesses - Managerial Issues and the Cost of Capital - Islamic Concept of Qarz-e-Hasna	✓ Reading Chapter 9 (Brigham) Activity Quiz – 4 Practice on MS Excel/EViews	CLO. 3 & 4
Week-13 & 14	The Basics of Capital Budgeting: Evaluating Cash Flows - An Overview of Capital Budgeting - The First Step in Project Analysis - Net Present Value (NPV) - Internal Rate of Return (IRR) - Modified Internal Rate of Return (MIRR) - Profitability Index (PI) - Payback Period - How to Use the Different Capital Budgeting Methods - Other Issues in Capital Budgeting	Reading Chapter 10 (Brigham) Activity Assignment – 8 Quiz -5	CLO. 2, 3 & 5
Week-15	Revision and Group Presentations		CLO. 5

**** Courseware Events column is subject to variations / appropriations**

INDIGENOUS MATERIAL USED:

S. No	Material /Activity	Associated Topic
1.	Issue in Financial Management in Pakistan	✓ Corporate Level ✓ Government Level
2.	Security and Exchange Commission of Pakistan	✓ Functions ✓ Rules and Regulations
3.	Financial Management System	✓ Oracle Pakistan

AI INTEGRATION AND TRANSPARENCY

S. No.	Course Component / Activity	AI Use by Students	AI Use by Instructor	Purpose of AI Use	AI Contribution (%)	Human Contribution (%)	Verification / Transparency
1	Lecture Preparation	N/A	Yes	Content development, examples, visual aids	20%	80%	Instructor revises AI content
2	Lecture Delivery	N/A	Optional	Interactive demonstrations, real-time examples	10%	90%	Instructor-led discussion and contextualization
3	Assignments	As per instructions for each assignment	Yes	Idea generation, brainstorming, feedback	Up to 20%	Minimum 80%	Students submit AI usage declaration
4	Case Analysis	Limited and declared use	Yes	Scenario exploration, alternative viewpoints, financial data interpretation support	Up to 20%	Minimum 80%	Students must explain reasoning and provide independent analysis
5	Project Report	Permitted for literature search, editing and formatting		Research support, language enhancement, report structuring	Up to 20%	Minimum 80%	AI use statement required; originality checked
6	Presentations	Permitted	Yes	Slide design suggestions, visual generation, presentation organization	Up to 20%	Minimum 80%	Students must demonstrate understanding during presentation and Q&A
7	Research Activities	Permitted with disclosure	Yes	Literature mapping, identifying research gaps, summarization	Up to 25%	Minimum 75%	Sources must be verified and properly cited
8	Assessment Design	N/A	Yes	Question generation, rubric development, case development	Up to 20%	Minimum 80%	Final assessment reviewed and approved by instructor
9	Feedback to Students	N/A	Yes	Draft feedback, identifying common mistakes, improvement suggestions	Up to 30%	Minimum 70%	Instructor reviews and personalizes all feedback
10	Administrative Tasks	N/A	Yes	Email drafting, announcements, scheduling assistance, document formatting	40%	60%	Instructor verifies all communications before release

AI TRANSPARENCY DECLARATION

Requirement	Yes / No
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Students are informed about permitted AI uses in the course	Yes
Students are required to disclose AI usage in assignments/projects	Yes
AI-generated content is subject to verification and critical evaluation	Yes
AI is used to augment learning rather than replace learning outcomes	Yes
Instructor reviews and validates all AI-assisted teaching materials	Yes

Recommended Web links:

https://study.com/directory/category/Business/Business_Finance.html

[http://onlinelibrary.wiley.com/journal/10.1111/\(ISSN\)1468-5957](http://onlinelibrary.wiley.com/journal/10.1111/(ISSN)1468-5957)

<https://www.thebalance.com/business-finance-4074044>

<https://thebusinessfinanceguide.co.uk/>

<http://www.accaglobal.com/pk/en/business-finance.html>

Grading Criteria

ABSOLUTE Grading

RELATIVE Grading

Marks Distribution:

Particulars	% Marks	*Weight Ranges
1. Interactive Session assignments	10	5 ~ 10
2. Pop Quizzes	10	5 ~ 10
3. First Terminal Exam	10	10 ~ 15
4. Second Terminal Exam	15	10 ~ 15
5. Project(s)	5	8 ~ 10
6. Final Exam	40	40 ~ 50
7. Lab final	10	2 ~ 10
Total:-	100	100

Planned Courseware Events:

Particulars	Planned (Qz/As/Labs)	Remarks
1. Quizzes	< or = 4	All quizzes announced
2. Assignments/	>2 & <5	Individual assignments
3. Presentations	=>1	Mostly group assignment
4. Labs	< or = 4	Individual Lab Exercises

* WeightRanges as defined in NeON

QUALIFYING ATTENDANCE

You must attend every class for your own personal benefit. Please refer to university policy of minimum attendance requirement (currently 6 absentees – 1.30 hrs (90 minutes) each class duration). Failing to conform to qualifying attendance threshold, the student will stand debarred from sitting in the examination and assigned with “F” Grade.

Academic and Moral Integrity:

All assignments should be your own work (or your group’s when approved). PLAGIARISM will be awarded with “F” grade and/or reported to the University for academic and moral misconduct. To protect yourself, ALWAYS PROVIDE REFERENCES!

Instructions / Suggestions for STUDENTS for satisfactory progress in this course:

- ✓ FAST has a 100 percent attendance policy. However, students are allowed to sit in the final exam if they have at least 80 percent attendance.
- ✓ Do not schedule other appointments during your lecture time, still If you miss a lecture; Ask for a copy of the lecture notes. Get a good, readable, and reliable copy and work though it carefully and diligently.
- ✓ Plagiarism in any part of the course can lead to an **F** in the whole course.
- ✓ Use of Generative AI (GenAI) tools (e.g., ChatGPT, Claude, Gemini, etc.) is permitted in accordance with the University's Policy on Generative AI-Based Tools and instructions of the course instructor. Students must use these tools responsibly and transparently, and any AI-assisted work must be appropriately disclosed. Misuse or non-disclosure of GenAI use may be treated as academic misconduct.
- ✓ On average, most students should find at least three hours outside of class for each class hour for satisfactory learning.
- ✓ **Note:** Counseling hours are displayed outside the doors of permanent faculty members for providing extra guidance to students. However, students are welcome to get help from the instructor at other times as well.
- ✓ If you encounter academic difficulties in your course, do not wait, contact your instructor or advisor in designated counseling hours and seek appropriate levels of assistance to help resolve your academic apprehensions.
- ✓ Inform your course instructor, advisor, administrator, or staff person of your concerns and provide them with all relevant information on the challenges you are facing.
- ✓ Read the objectives and learning outcomes well; students are expected to attain the intended learning outcomes.
- ✓ Plan all your activities; use the calendars, things to do list, reminders, or other resources to help you keep track of important tasks, course assignments, quizzes, examination dates and deadline dates as well as your co-curricular activities.
- ✓ Students unable to submit an assignment by the due date should discuss the matter in advance with the course instructor. At the instructor's discretion, late assignments may not be accepted. Where late assignments are accepted, a late penalty of 10% per day will be levied.
- ✓ **Assignments/ Activities:** They are not meant simply for grades, but to reinforce your learning. Assignments are due on time. Each day late will lower your assignment grade by 10%. Apart from value of content, spelling, grammar, punctuation, and good presentation (printing and paper quality) will figure into your assignment grade.
- ✓ Copying other students' work or allowing your own work to be copied, both are considered cheating.
- ✓ You must log in to your SLATE/ Google Classroom account at least once every 24 hours for announcements, assignments, lecture notes and messages.
- ✓ Check Flex regularly for your attendance, and evaluations.
- ✓ You need to enter the lecture room fully awake and able to devote your best concentration, for this go to bed at reasonable times and get optimum sleep.
- ✓ Come to each lecture properly prepared, bring in the last lectures' notes, textbooks, ball points/pencils, laptops and calculators etc.
- ✓ Use the few minutes you usually have before the start of each class to review the prior lectures' notes and homework. This will save us valuable in-class time to work on new material.
- ✓ Develop a learning habit rather than memorizing, work in groups, whenever appropriate.
- ✓ Apply the learned principles and gained knowledge; be creative in thinking.
- ✓ To guard against errors, please keep copies of the papers you turn in and retain all graded assignments for your reference.
- ✓ It is the responsibility and duty of students to become acquainted with and abide by all the policies and rules of the FSM.

**SPECIAL
INSTRUCTIONS**
(Specific to the subject
being taught)

Calculator and Books are a must for each class.